

butions aggregating \$70 per share. The Lackawanna Securities Company was entirely dissolved and the Glen Alden bonds in its treasury distributed pro rata to the stockholders in lieu of their stock. Finally, the Tobacco Products Corporation was recapitalized on a basis by which 6¹/₂% bonds were issued against the American Tobacco lease, so that this asset of fixed value was represented by a fixed-value security (which later were redeemed at par) instead of by shares of stock in a corporation subject to highly speculative influences. By means of these corporate rearrangements the real values were speedily established in the market price.⁸

The situations that we have just analyzed required a transfer of attention from the income account figures to certain related features revealed in the balance sheet. Hence the foregoing topic—Sources of Income—carries us over into our next field of inquiry: The Balance Sheet.

⁸ The student is invited to consider two further examples illustrating this point in 1939, viz.

1. Westmoreland Coal Company, selling at 8 although the company held some \$18 per share in cash assets alone. This case is broadly similar to our Davis Coal and Coke example, although there were some differences. See discussion of this company on pp. 588–589.

2. American Cigarette and Cigar. In this case there is also a long-term lease to American Tobacco Company (as in the Tobacco Products example), but the situation is complicated by the company's own operations, which have produced losses, and by ownership of other assets.

Attention is drawn also to our discussion of Lehigh Coal and Navigation Company in Chap. 33, in which we suggested that the mining losses were perhaps inseparable from the large income from lease of the railroad.